

Cotton production in Bangladesh quite low despite huge demand



Bangladesh's cotton production has been low as farmers are opting for other cash crops to the white fibre, missing out on at least a \$3-billion domestic market. The country produced only 1.77 lakh bales of cotton last year, which was insufficient to meet the demand of even a single spinning mill. This has made Bangladesh one of the largest cotton importers.

The country's production last year was nearly 1 per cent of the total annual consumption of 9 million bales of cotton. Some 480 pounds, or 218 kilogrammes, make a bale.

Spinners, millers and other users have to spend more than \$3 billion annually to buy cotton from India, the United States, Africa, Australia, Brazil, Pakistan, and Central Asian nations.

Cotton Development Board executive director Mohammad Akhteruzzaman blames the scarcity of arable land, emphasis on food production and lower price of cotton for the farmers' lack of interest in growing the crop.

Fibre2Fashion News Desk (DS)

List of Top Garments Buyer in Bangladesh

The Garment manufacturing business is one of the popular common business trends in Bangladesh. Major factors to grow up this garments sector is low labour cost, skilled educated manpower, good transportation facilities, modern port facilities, short lead time, etc. World top garments buyer and brands works in Bangladeshi apparel industries.

Bangladesh has a long tenure of apparel making experience. As a result, it easily can provide to the buyer with better quality products than any other garments manufacturing countries with a convenience price. That's why high-ranked foreign buyers and brands are always pleased to procure apparel products from Bangladesh as they got several advantages than other competitor countries. Thus, Bangladeshi garment industries have expanded rapidly in this country, and Bangladesh achieved a lot of reputation from foreign buyers and popular brands. The yearly turnover of Bangladeshi garment manufacturing business is about 30.14 billion US dollar. Bangladesh is second biggest garments manufacturing countries in the world. More than 4.1 million people are employed in this sector. Most of them are women. 84.21% of export revenue earned from this sector to Bangladesh's total exports of \$40.53 billion in 2019. Bangladesh is one of the best Ready Made Garments (RMG) manufacturing countries in the world. The latest statistics of BGMEA Trade Information, in the fiscal year 2018-19, the number of garments factory was 4621. Bangladesh has 5,271 garment factories in Bangladesh as of June 2019, according to the ILO (International Labour Organization). The Bangladeshi garments industries employ 4.1 million people who are the driving force behind Bangladesh's most important industry.

Within a short time Bangladeshi **garments industry** has achieved huge fame to buyers for their export quality product. Day by day Bangladeshi garments industries are improving for their low labour cost, skilled and educated worker, better transportation facilities, good port facilities, short shipment time, easy order execution, raw martial produce etc. For this reason, a lot of world-renowned buyers and brands are working with Bangladesh. As a result, high ranked buyers and brands from all over the world are so much interested in place order here throughout the recent year.

List of Top Garments Buyer in Bangladesh:

In Bangladesh most of the buyers of Garments industries comes from the USA, UK, Japan, Australia, India and other European Union countries and set up their buying office to follow up the order.



Fig: Top garments buyer

1. H&M

- Full Form: Hennes & Mauritz AB
- Founded Year: 1947
- Founder: Erling Persson
- Headquarters: Stockholm, Sweden
- CEO: Karl-Johan Persson (President and CEO)
- ISIN: SE0000106270
- Website: www.hm.com

2. Wal-Mart

- Founded Year: July 2, 1962
- Founder: Sam Walton
- Headquarters: Bentonville, Arkansas, U.S.
- CEO: Doug McMillon (President, CEO)
- ISIN: US9311421039
- Website: www.walmart.com

3. Li & Fung

- Founded Year: 1906
- Founder: Li Daoming
- CEO: William Fung
- ISIN: BMG5485F1445
- Website: www.lifung.com

4. Adidas

- Former: Gebrüder Dassler Schuhfabrik (July, 1924)
- Founded Year: 18 August 1949 (as Adidas)
- Founder: Adolf Dassler
- Headquarters: Herzogenaurach, Germany
- CEO: Kasper Rørsted
- ISIN: DE000A1EWWW0
- Website: www.adidas-group.com

5. Levis

- Founded Year: May 1, 1853(as David Stern & Levi Strauss)
- Founder: Levi Strauss
- Headquarters: San Francisco, California, U.S.
- CEO: Chip Bergh
- ISIN: US52736R102
- Website: www.levistrauss.com

6. VF Asia

- Founded Year: October 1899
- Founder: John Barbey
- Headquarters: Denver, Colorado, U.S.
- CEO: Steve Rendle
- ISIN: US9182041080
- Website: www.vfc.com

7. Nike

- Formerly: Blue Ribbon Sports (1964–1971)
- Founded Year: January 25, 1964
- Founder: Bill Bowerman & Phil Knight
- Headquarters: Beaverton, Oregon, U.S.
- CEO: John Donahoe
- ISIN: US6541061031
- Website: www.nike.com

8. GAP

- Founded Year: August 21, 1969
- Founder: Donald Fisher & Doris F. Fisher
- Headquarters: San Francisco, California, USA
- CEO: Sonia Syngal
- ISIN: US3647601083
- Website: www.gap.com

9. Tesco

- Founded Year: 1919
- Founder: Jack Cohen
- Headquarters: Tesco House, Shire Park, Kestrel Way Welwyn Garden City. Hertfordshire, AL7 1GA, UK.
- CEO: Dave Lewis (CEO)
- Website: www.tesco.com

10. C&A

- Founded Year: 1841
- Founder: Clemens & August Brenninkmeijer
- Headquarters: Vilvoorde, Belgium & Düsseldorf, Germany
- CEO: Alain Caparros
- Website: www.c-and-a.com

11. Target

- Founded Year: June 24, 1902
- Founder: George Dayton
- Headquarters: Minneapolis, Minnesota, United States
- CEO: Brian C. Cornell(Chairman, CEO)
- ISIN: US87612E1064
- Website: www.target.com

12. ASDA

- Founded Year: 19 February 1949
- Founder: Peter and Fred Asquith & Noel Stockdale
- Headquarters: Leeds, West Yorkshire, England
- CEO: Roger Burnley (President & CEO)
- Parent: Walmart
- Website: www.asda.com

13. Next

- Formerly: J Hepworth & Son (1864–1982)
- Founded Year: 1864
- Founder: Joseph Hepworth
- Headquarters: Enderby, Leicestershire, England, United Kingdom
- CEO: Simon Wolfson
- ISIN: GB0032089863
- Website: www.next.co.uk

14. Zara

- Founded Year: 1975
- Founder: Amancio Ortega & Rosalía Mera
- CEO: Amancio Ortega (founder)
- Website: www.zara.com

15. Old Navy

- Founded Year: March 11, 1994
- CEO: Sonia Syngal (CEO and Global President)
- Parent: Gap Inc.
- Website: www.oldnavy.com

16. PVH

- Founded Year: 1881
- Founder: Moses Phillips
- John Van Heusen, Dramin Jones
- Headquarters: Manhattan, New York City, USA
- ISIN: US6936561009
- Website: www.pvh.com

17. S. Oliver

- Founded Year: 1969
- Founder: Bernd Freier
- Headquarters: Rottendorf, Germany
- Website: www.soliver.com

18. Puma

- Founded Year: 1948
- Founder: Rudolf Dassler
- Headquarters: Herzogenaurach, Germany
- CEO: Bjørn Gulden
- Website: www.puma.com

19. K-mart

- Founded Year: July 31, 1899 (legacy)
- November 23, 1977 (renamed as Kmart)
- Founder: S. S. Kresge
- Headquarters: Hoffman Estates, Illinois, United State
- Website: www.kmart.com

20. M&S

- Founded Year: 1884
- Headquarters: London, United Kingdom
- CEO: Steve Rowe
- ISIN: GB0031274896
- Website: www.marksandspencer.com

Bangladesh is a popular high-quality garment manufacturer in the world. World renowned buyers and brands works in Bangladeshi apparel industries. Those buyers and retailers basically came from USA, UK, Japan, Australia, India and other European Union countries to follow up their bulk order by setting up a regional office. Most of the developed countries become pleased to import garment products from Bangladesh. Ready Made Garments sector is a first growing mainstream business in Bangladesh. The BGMEA (Bangladesh Garment Manufacturers and Exporters Association) has fixed a target to earn about 50 billion USD by 2021. It's not very high ambitious target, cause in the fiscal year of 2019-2018, we have earned about 32.92 billion USD. We have much ability to escalate it to 50 billion USD, cause last 30 years; we have gathered huge experience in this sector garments business.

The curious case of RMG import growth overtaking export's



Infographic: TBS

The country's imports meant for manufacturing its readymade garments show an unexplained trend if compared with apparel exports.

For example, the RMG sector's imports of raw materials, such as cotton, synthetic fibre, yarn and other accessories, rose 51.2% year-on-year in FY22, but exports saw only 24.6% growth.

This means the growth in raw material imports was nearly double the growth of exports – a phenomenon that has never been witnessed before.

Central bankers and industry people can only guess the reason behind.

"The figures mean exporters sold their products at a loss, which is not true for the overall industry," said SM Majedur Rahim, director of Giant Group that exports \$40 million worth of products annually.

He said import growth should not be higher than that of exports because it cannot be sustainable business.

Rising prices of raw materials in the global market may push import costs up, reducing profit margin, but exporters are still not making a loss, he added.

On condition of anonymity, a central banker said there may be a possibility of over-invoicing. The issue of mismatch between imports and exports has not come to the attention of the relevant department of the Bangladesh Bank.

An investigation is needed to find out the real reason behind it, he noted.

For a comparative study, one can look at import and export figures for the industry in FY21.

While raw material imports grew 4.8% in that fiscal year, exports increased by 18.6%. So, export growth was much higher than import growth, which should be the case because of value addition.

Figures also reveal that Bangladesh's RMG is also losing out on value addition. In FY21, raw materials made up 69% of exports value. But this dramatically shot up to 83% just a year later. In the January-March quarter of the last fiscal year, the value was over 90%, leaving a thin margin for exporters.

With such a thin margin, exporters cannot meet their operational costs.

But an exporter is not supposed to import raw materials worth more than 75% of exports value as per the Bangladesh Bank rule.

Industry insiders say exporters cannot survive if they import more than 80% of export value as there are other operational costs.

The import growth of garment-related goods was 58% in the last fiscal year, of which growth of raw cotton import was 39.32%, yarn 115%, textile and articles thereof 51.63%, staple fibre 50.89% and dyeing and tanning materials 24.60%, data from the central bank shows.

Apparel also led capital machinery imports

After three years of negative growth, the country saw a big jump in capital machinery imports in the last fiscal year led by the apparel industry.

The capital machinery imports grew by 40.78% in FY22, overcoming the negative growth of 12.39% in the previous fiscal year.

Textile and garment sectors mostly led the imports in the last fiscal year, registering 24% and 46% growth respectively. The capital machinery imports of these two sectors were negative in the last three years.

How garment exporters explain the mismatch

Kutubuddin Ahmed, former president of Bangladesh Garment Manufacturers and Exporters Association (BGMEA), said, "The growth comparison between raw material imports and exports will not be justified as we textile makers import cotton at least five months before a shipment of readymade garments."

He further explained that spinning mills import raw cotton at least two months before getting orders, shipping lines take at least one and a half months and garments makers also receive orders at least two months before shipments.

"The textile and apparel industries always react like Rhinoceros [slow to react]," he added.

Echoing Kutubuddin, BGMEA acting president Shahidullah Azim said, "We always ship goods a minimum 60 days after fabric imports and in some cases, we procure raw materials at a time to meet a long-time demand."

Replying to a query, Shahidullah Azim said, "There is no chance of over-invoicing at this moment as garment exporters are trying to save their back."

A number of brands have deferred shipments owing to global economic slowdown, while some buyers are cancelling orders, he added.

Kutubuddin Ahmed, chairman of Envoy Textile, said, "Last fiscal year, cotton prices almost doubled, which was also reflected in our raw material import payments, but buyers are not willing to pay in line with that."

BKMEA Executive President Mohammad Hatem said the apparel sector's value addition had gone slow in the last three fiscal years owing to some valid reasons – during the pandemic year of FY20, a number of buyers cancelled over \$3 billion worth of apparel orders and a part of these orders shipped at discounted prices in the following year.

In the pandemic year, a number of brands had gone bankrupt and they did not pay their exporters, and last year, all types of raw material prices almost doubled, he added.

At this moment, local sourcing of fabrics has been hampered because of power supply shortage. That is why garment exporters are importing those at high prices to meet their export deadlines, he noted.

But the additional costs will not be adjusted with product prices, Mohammad Hatem said.